IKEA INDIA

BUSINESS ANALYTICS CASE STUDY

WHY URBAN BUYERS DON'T COME BACK

Diagnosing the repeat-purchase gap
before proposing a fix

3 CITIES
Hyderabad, Mumbai, Bengaluru
Urban middle-class target

58%
of urban first-time buyers don't return within **12 months**

+24% YoY
rise in post-purchase support tickets
(Assembly, Missing Parts, Delivery)

OPPORTUNITY MAPPING | PRIORITIZATION | RESEARCH DESIGN

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02 THE SITUATION

Strong first visits. Repeat purchase isn't following.

3 CITIES

Hyderabad, Mumbai, Bengaluru — urban middle-class target

STRONG START

First-purchase numbers looked healthy at launch

NO RETURN

Repeat purchase behavior has not followed

NO CONSENSUS

Store, digital, and support teams each see a different cause

MANDATE: Understand the problem before any solution is proposed.

03 DATA SIGNALS AT A GLANCE

Key metrics that highlight the repeat-purchase challenge

REPEAT PURCHASE GAP

58%

of urban first-time buyers don't return within 12 months

Indicates a significant drop-off after the first purchase

SUPPORT TICKETS INCREASE

+24%

YoY increase in post-purchase support tickets (Assembly, Missing Parts, Delivery)

Rising friction in the post-purchase experience

COMPETITOR INTERCEPTION

pepperfry | urban ladder

Pepperfry and Urban Ladder are picking up customers immediately after their first IKEA visit

Customers are switching before IKEA can build retention

NO SHARED RETENTION METRIC

Digital Team ≠ Store Team

No common retention metric across digital and store teams

Silos lead to fragmented diagnosis and slower improvement

KEY TAKEAWAYS

- High first-time drop-off indicates a weak repeat purchase engine.
- Post-purchase issues are growing and impacting customer satisfaction.
- Competitors are capturing customers before IKEA can establish loyalty.
- Alignment on a common retention metric is critical to drive improvement.

04 BEYOND THE OBVIOUS SYMPTOM

Four candidate opportunity spaces — not one

"Assembly" is the loudest complaint. **It isn't automatically the deepest one.**

A — POST-PURCHASE SUPPORT BURDEN

Assembly, missing parts, delivery delays

Support tickets +24% YoY; matches "effortful" survey language

B — ACCESS & DISTANCE FRICTION

Only 3 stores for this market size

Survey flag "too far" — never formally analyzed

C — PRE-PURCHASE OVERWHELM

Self-service model vs. assisted-buying norms

Survey flag "too overwhelming" — one unanalyzed word

D — NO SHARED RETENTION METRIC

Store and digital teams don't share ownership

Structural gap — root cause the other three hide behind

05 | PRIORITIZATION (RICE)

Scoring A, B, C on RICE

Reach × Impact × Confidence ÷ Effort. D is structural, scored separately.

CRITERION	A POST-PURCHASE SUPPORT	B ACCESS / DISTANCE	C PRE-PURCHASE OVERWHELM
REACH	High — nearly every purchase involves flatpack assembly	Med-high — buyers outside 3 metro catchments	High — affects most first-time visitors
IMPACT	High — tied directly to “effortful” complaint	High, but infrastructure-limited, not fixable fast	Medium-high — affects comfort more than repeat
CONFIDENCE	High — quantified ticket data + matching survey text	Low-med — one unanalyzed survey word	Low — one unanalyzed survey word, no data
EFFORT TO RESEARCH	Low — ticket data already exists	High — findings wouldn’t be actionable near-term	Medium — underspecified, needs fresh probing

TAKEAWAY

Prioritize **A** for immediate, data-backed investigation. **B** is infrastructure-limited. **C** needs deeper discovery.

D (No shared retention metric) is a structural issue to address in parallel.

06 | THE CALL

Investigate A — post-purchase support — first.

WHY START WITH A?

HIGHEST REACH

Nearly every purchase involves flatpack assembly.

HIGHEST IMPACT

Directly tied to the "effortful" complaint.

HIGHEST CONFIDENCE

Quantified ticket data + matching survey text.

LOWEST EFFORT TO RESEARCH

Ticket data already exists. Fastest path to insight.

TAKEAWAY

Start with **A: Post-purchase support burden.**

- It is the most actionable now.
- It has the strongest data backing.
- It maps to the loudest customer pain.
- It can uncover levers in our control.

07 RESEARCH DESIGN (FIXING A BIASED SAMPLE)

Our existing sample excludes the very people we most need to understand.

THE CURRENT BIAS

Our current research over-represents happy repeat customers.

We're missing the silent majority who don't come back.

- **Survivorship bias** — selects for customers who already had the outcome you're trying to explain the absence of.
- **Review-motivation bias** — oversamples people engaged enough to write a review, skewing toward extremes.
- **Silent churners excluded** — the 58% who never returned and never said a word are exactly who this study needs.

THE CORRECTION (OUR PLAN)

Our current sample:

70% repeat buyers	30% one-time buyers

What we need:

50% repeat buyers	50% one-time buyers

- Recruit on behavior, not sentiment
- Purchased 12+ months ago, first-time buyer at the time
- No second purchase since — pulled from purchase records, not self-report
- Stratify: 5 online / 5 offline, spread across the 3 cities
- Split ticket-filers vs. silent non-filers (≈ 4 / 6) — don't repeat the bias in reverse
- Exclude anyone recruited via review platforms or NPS follow-up

OUR CORRECTION PLAN

REBALANCE THE SAMPLE

Target 50% one-time buyers and 50% repeat buyers.

INCLUDE NON-RETURNING CUSTOMERS

Actively recruit those who haven't returned.

ADD POST-PURCHASE CHURN POINTS

Capture drop-offs after delivery, assembly, and support.

COMPARE & IDENTIFY DIFFERENCES

Spot what's different between returning and non-returning buyers.

GOAL Design a sample that represents both sides of the behavior so the insights we uncover are real and actionable.

08 RESEARCH DESIGN (INTERVIEW GUIDE)

One-on-one interviews: journey-based, not leading.

10 interviews – open questions surface the problem – the guide **never names "assembly" first**

WARM-UP	**"Tell me about the last time you furnished a room."** Builds rapport, no priming.
JOURNEY – OPEN	**"Walk me through what happened from deciding to buy, to it being in your home."** Let them surface the pain point first.
PROBE	**"You mentioned X — tell me more."** Only follow what they raised — never introduce assembly, distance, or overwhelm by name.
NON-RETURN, INDIRECT	**"What would've needed to be different for you to go back to IKEA first?"** The core question, asked without leading.
SECONDARY PROBES	**"How easy was it to get to the store / decide what to browse?"** Covers B and C without naming them.

09 HOLDING PATTERN — NOT A CONCLUSION

Candidate solutions, contingent on findings.

These address **Opportunity A only.**
If interviews surface B or C as primary, none of these solve it — that's the point of running the research first.

1 VIDEO TUTORIALS

Sent via email + SMS/WhatsApp on purchase

2 CLEARER INSTALL BOOKLET

Step-by-step, plain language, a photo per step

3 PAID ASSEMBLY SERVICE

Opt-in installation assistance for a fee

4 INFLUENCER DIY CONTENT

Partnered easy-assembly walkthroughs

5 MEMBERSHIP PLAN

First assembly free, then discounted, plus perks

GO / NO-GO GATE: None of these ship until the interviews confirm Opportunity A is the primary driver, not a proxy for B or C.

10 ASSUMPTIONS STATED

What this analysis assumes — and what happens next.

1. **"Too far" in exit surveys reflects logistics friction, not a proxy for low purchase motivation** — untested until B is probed directly.

2. **Support ticket volume is a reasonable proxy for the broader (unfiled) complaint base** — the ticket-filer / non-filer split in sampling exists to check this.

3. **Opportunity D (no shared retention metric) is fixed in parallel regardless of research outcome** — it's a prerequisite for measuring any future fix, not a competing priority.

NEXT: Run the 10 interviews — code against **A / B / C** — revisit the solution set only after findings land.